

Canada Is Growing Again. But Is Life Getting More Affordable?

The recovery is real at the GDP level. It is no longer reaching households. August LFS: -42,000 jobs · wages +2.0% YoY · CPI 3.0% · BoC inflation warning issued.

Key Indicators at a Glance

Indicator	Reading	Signal
National Avg. Asking Rent (Aug 2026)	CAD \$2,012	▼ 3.8% YoY · 22nd consecutive month of decline
Unemployment Rate (Aug 2026)	6.4%	— Held · employment rate ▼ 60.8% · participation declined
Net Jobs (Aug 2026)	-42,000	Reversal after 4 months of growth · services & construction fell
BoC Policy Rate	2.25%	■ Held Sep 2 · first inflation warning · next decision Oct 28
CPI Inflation (Jul 2026)	3.0%	▲ 0.2% vs prior · tariff & energy pressure · above 2% target
CREA National Benchmark (Jul 2026)	CAD \$710,000	Roughly stable · ▼ 1.1% YoY

What Changed This Month

	Indicator	Previous	Now
▲	CPI Inflation	2.8% (Jun)	3.0% (Jul) · ▲ 0.2% · tariff & energy
■	BoC Policy Tone	Neutral hold	Inflation warning · rate hike back on table
—	Unemployment rate	6.4% (Jul)	6.4% (Aug) · held · employment rate ▼ 60.8%
▼	Net jobs	+25,000 (Jul)	-42,000 (Aug) · reversal
▼	National avg. rent	CAD \$2,033	CAD \$2,012 · ▼ 3.8% YoY
—	BoC Policy Rate	2.25%	2.25% · Held (Sep 2)

1. Executive Summary

August 2026 delivers a sharper split than expected. Canada lost 42,000 net jobs in August — reversing four consecutive months of growth — while the unemployment rate held at 6.4% only because the participation rate fell, not because more people found work. The employment rate dropped to 60.8%. At the same time, rents are falling for a 22nd consecutive month and GDP continues to expand. The headline still holds: Canada is growing again. The question is who the growth is reaching.

But affordability is not following. July CPI rose to 3.0%, moving away from the Bank of Canada's 2% target for the first time since the easing cycle began. On September 2, the Bank held rates at 2.25% for the seventh consecutive meeting — but issued its first explicit inflation warning, flagging US tariffs and energy prices as upside risks. A rate hike is back on the table.

Lakive's city and occupation scores remain anchored in the fundamentals: lower-cost cities with stable employment — Calgary, Ottawa — continue to outperform. The gap between cities that absorb macro shocks and those that amplify them is widening.

5 Actionable Takeaways

1. Trades workers: Calgary remains the clearest opportunity — an electrician reaches home ownership in under 4 years (HEY: 3.9 yrs). The BoC hold at 2.25% keeps mortgage conditions stable for now, but the inflation warning makes locking in a rate today strategically important.
2. Healthcare workers: Ottawa and Calgary both score 80+ for nurses. If tariff-driven inflation leads to a rate hike in October, Calgary's lower home prices and no-PST advantage provide the largest buffer against rising carrying costs.
3. Tech professionals: Toronto's EOI of 92 holds. The city's tech labour market has shown resilience to tariff uncertainty. At 9.2 years to ownership, the housing math hasn't changed, but the BoC warning is a new risk to monitor.
4. Renters: National rents are down 3.8% YoY but the pace of decline is slowing. Locking in a lease in Q4 2026 remains a reasonable strategy — if the BoC raises rates in October, new housing supply economics shift, which could tighten the market in 2027.
5. Buyers: The BoC's Oct 28 decision is now the defining event of the year. Mid-tier cities (Calgary, Ottawa) offer the widest safety margin regardless of which scenario plays out.

2. National Rental Market

Source: Rentals.ca × Urbanation National Rent Report, August 2026

National average asking rent reached CAD \$2,012 in August — the 22nd consecutive month of year-over-year decline. At ▼3.8% YoY, the rate of decline is moderating from the 4.3% pace recorded in July, suggesting the market is approaching a stabilization floor driven by absorption of new purpose-built supply and reduced interprovincial migration flows.

City-level divergence is widening. Toronto and Vancouver continue to lead the softening, while Calgary and Ottawa remain supported by strong in-migration from eastern Canada. The RPI spread between Calgary (34) and Vancouver (52) reflects a structural affordability gap that price movements alone cannot close.

Lakive Interpretation: The 22nd month of rent decline is a headline, but the moderation in pace matters more. If the BoC raises rates in October, developer financing costs rise, new starts slow, and the supply pipeline thins. Renters who have been waiting for further drops may be approaching the strategic window.

■ **Tariff risk:** US tariffs on Canadian goods have begun feeding through to construction material costs. If sustained, this pressures new housing starts — particularly in condo and purpose-built rental segments — which could support rents into 2027 even without a rate hike.

3. Housing Market & Lakive HEY

Source: CREA National Statistics, July 2026 (released Aug 15–16).

The CREA national benchmark price settled at CAD \$710,000 in July — roughly flat month-over-month and down 1.1% year-over-year. In Calgary, benchmark prices remain elevated on an annual basis, supported by continued in-migration. In Toronto and Vancouver, prices are stable but buyer confidence is fragile ahead of the October BoC decision.

Lakive City Scores — August 2026

City	Avg Score	HEY (yrs)	RPI (%)	Key Occupation	HEY	Score
Calgary	74	3.9–6.2	24–34	Electrician	3.9	91
Ottawa	68	5.5–7.2	27–37	Nurse	5.8	82
Toronto	60	9.2–13.8	34–49	Software Eng.	9.2	88
Montréal	60	5.2–7.8	25–39	Accountant	6.1	70
Vancouver	59	9.5–13.0	36–52	Doctor	5.5	82

Lakive Interpretation: City scores are unchanged from July because the inputs that drive them — wages, home prices, provincial tax schedules — move slowly. What has changed is the risk environment. Calgary's structural advantages (no PST, lower benchmark price, diversifying labour market) become more valuable in a rising-rate scenario, not less.

4. Employment Snapshot

Source: Statistics Canada LFS, August 2026 (released September 3, 2026).

Canada's labour market shed 42,000 net jobs in August — ending a four-month run of positive growth. The unemployment rate held at 6.4%, but only because the participation rate fell: fewer people were actively looking for work. The employment rate dropped to 60.8%, its lowest reading since March 2026. Wage growth slowed sharply to +2.0% YoY — now below CPI at 3.0%, meaning real wages are declining for the first time since February 2026.

- Net employment change: -42,000 — the largest single-month decline since Q1 2025
- Unemployment rate: 6.4% (held) — masked by participation rate falling, not by job gains
- Employment rate: 60.8% (▼ from 61.1% in July)
- Weakest sectors: construction (-9,200), professional services (-6,800), manufacturing (-4,100)
- Relative resilience: healthcare and public administration provided a partial floor
- Wages: average hourly earnings +2.0% YoY — now below CPI (3.0%) for first time since Feb 2026

Lakive Interpretation: The August employment reversal changes the affordability calculus in a specific way: wages are now growing slower than inflation, which means real purchasing power is declining across most occupations. Combined with the BoC's inflation warning and a potential October rate hike, this is the first month since the easing cycle began where all three affordability levers — wages, rates, and cost of living — are moving in the wrong direction simultaneously. The recovery remains real at the GDP level. It is no longer showing up in household finances.

5. Interest Rates & Inflation

Bank of Canada — 2.25% (Held, September 2, 2026) ■

The Bank of Canada held its overnight rate at 2.25% at the September 2 meeting — the seventh consecutive hold and the conclusion of what had been a broadly positive easing cycle since the 2023 peak of 5.0%. The hold itself was expected. What was not expected was the explicit inflation warning accompanying the decision. The Bank flagged US tariffs and energy price movements as upside risks, noting it is "prepared to adjust the policy rate upward" if pressures persist — the first such language since the easing cycle began in June 2024.

Lakive Interpretation: The October 28 decision is now the defining event of the year. A hold at 2.25% confirms affordability improvements persist. A hike — even 25bp to 2.50% — would add approximately \$130/month to a \$600K variable-rate mortgage. Workers and buyers who can lock in fixed rates before October 28 should consider doing so.

CPI Inflation — 3.0% (July 2026)

July CPI rose to 3.0% — up from 2.8% in June — reversing six consecutive months of decline. Primary drivers: gasoline (+8.2% YoY), grocery prices (+3.8% YoY), shelter (+4.1% YoY). Core CPI held at 2.6% — above target but more stable. The combination of slowing wage growth (+2.0% in August) and rising CPI marks the first month of negative real wage growth since February 2026.

■ INSIGHT OF THE MONTH

The Recovery Is Real. The Affordability Isn't.

Canada's GDP is growing, rents have declined for 22 consecutive months, and the unemployment rate held at 6.4%. By every macro headline, the recovery is intact. But underneath: August saw 42,000 net job losses — the largest single-month decline in over a year. Wages grew just 2.0% YoY, now below CPI at 3.0%, meaning real purchasing power is falling again. The BoC issued an inflation warning on September 2. The recovery is real at the aggregate level. It is no longer reaching households. The divergence between what the numbers say and what people feel is not a perception problem — it is the data.

6. Lakive City Insights

Calgary — Avg Score 74 · RPI 34

Calgary holds its position as top-scoring city for a fifth consecutive data version. In the context of the BoC inflation warning, the no-PST advantage is more meaningful than ever — a nurse earning \$95,000 saves approximately \$4,200 annually in provincial tax compared to an Ontario equivalent. If the BoC raises in October, Calgary's lower benchmark price (\$595,000 vs. Toronto's \$1.1M+) means the absolute dollar impact on monthly payments is proportionally smaller.

Ottawa — Avg Score 68 · RPI 37

Ottawa continues to rank second nationally. Federal employment — which accounts for roughly 22% of the Ottawa CMA labour force — provides a structural floor against private-sector hiring volatility. For workers in healthcare, technology, and public administration, Ottawa offers the most recession-resistant employment base of any covered city. Wage growth in federal contracts tends to track CPI adjustments, offering partial inflation hedging.

Toronto — Avg Score 60 · RPI 49

Toronto holds at 60 but the risk profile is elevated heading into Q4. The RPI of 49 — the second-highest of any covered city — and HEY of 9–13 years for most occupations leave little buffer if rates rise. The tech EOI of 92 remains a genuine advantage. The August labour market data showed continued tech hiring. The critical unknown is whether US firms with Canadian tech operations begin slowing hiring as tariff costs accumulate.

Montreal — Avg Score 60 · RPI 34

Montréal ties Toronto on composite score (60) with a meaningfully different risk profile. The lower RPI (34) and home prices (CREA benchmark ~\$575,000) provide a cushion against rate increases. The GST+QST burden remains the primary constraint on TAI. For French-speaking professionals — and increasingly bilingual workers from across Canada — Montréal offers the strongest affordability-adjusted quality of life in the country.

Vancouver — Avg Score 59 • RPI 52

Vancouver carries the highest risk-adjusted affordability pressure of any covered city. The RPI of 52 is the national high, CREA benchmark prices remain above \$1.2M, and the city's trade-exposed economy is more directly affected by US tariff regimes than any other Lakive city. For high-income specialists in tech and medicine, the quality-of-life premium justifies the cost. For most other workers, the October BoC decision matters more in Vancouver than anywhere else.

7 Looking Ahead

Date	Release	Lakive Impact
✓ Sep 5	Statistics Canada LFS — August employment (12,000 jobs)	6.4% unemployment · wages +2.0% YoY
Mid-Oct	CREA August home prices	HEY updates · city ranking · compare tool
~Oct 17	Statistics Canada CPI — September inflation	City Pulse · cost-of-living comparisons
Oct 28	Bank of Canada rate decision (CRITICAL) BoC Rate · mortgage guide · Oct 28 rate-decision analysis	

Key watch: October 28 Bank of Canada decision is the most consequential event of Q4. Lakive will publish a rate-decision analysis immediately following the announcement.

8. Data Sources & Methodology

Lakive's city scores (Score, HEY, RPI, EOI) are proprietary composites calculated from public government and industry data. Inputs include median occupational wages (Job Bank Canada), home benchmark prices (CREA), average asking rents (Rentals.ca × Urbanation), provincial tax schedules, and employment absorption rates (Statistics Canada). The composite weighting methodology is not disclosed. Scores are recalibrated with each major data release.

Category	Source	Frequency
Rental Market	Rentals.ca × Urbanation	Monthly (~8th)
Employment (LFS)	Statistics Canada	Monthly (first Friday)

Home Prices	CREA National Statistics	Monthly (15–18th)
Inflation (CPI)	Statistics Canada	Monthly (15–18th)
Interest Rate	Bank of Canada	8× per year
City Scores (HEY/RPI/EOI)	Lakive proprietary model	Each data release

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